

BUSINESS STUDIES QUESTION BANK

Form 1 to Form 4 | 300 Multiple Choice Questions (Simple, Normal, Hard) with Answers

Overview: This document contains 300 carefully curated Business Studies multiple-choice questions designed for secondary school students. It covers Form 1 to Form 4 syllabi across three distinct difficulty tiers: Simple (Foundational), Normal (Intermediate), and Hard (Advanced & Calculations).

SECTION A: SIMPLE QUESTIONS (1 -- 100) [Form 1 & 2 Fundamentals]

Q1. [Form 2] Which of the following is a basic human need?

A) Television B) Car C) Food D) Smartphone

Answer: C

Q2. [Form 1] The reward for land as a factor of production is:

A) Wages B) Rent C) Interest D) Profit

Answer: B

Q3. [Form 2] Commerce consists of trade and:

A) Production B) Aids to trade C) Extraction D) Consumption

Answer: B

Q4. [Form 1] A business owned and managed by one person is called:

A) Partnership B) Sole proprietorship C) Cooperative D) Public corporation

Answer: B

Q5. [Form 2] Which utility is created by changing the form of raw materials?

A) Time utility B) Place utility C) Form utility D) Possession utility

Answer: C

Q6. [Form 1] The document used to invite the public to buy shares in a company is a:

A) Prospectus B) Certificate of Incorporation C) Memorandum of Association D) Articles of Association

Answer: A

Q7. [Form 2] An office routine that involves recording incoming and outgoing mail is:

A) Filing B) Mail handling C) Duplicating D) Invoicing

Answer: B

Q8. [Form 1] Which of the following is an example of direct production?

A) A farmer growing maize for sale B) A tailor making a dress for his own family C) A teacher in a commercial school D) A fisherman selling fish

Answer: B

Q9. [Form 2] The process of grouping similar items together in an office is called:

A) Filing B) Indexing C) Sorting D) Archiving

Answer: C

Q10. [Form 1] A cheque that must be paid into a bank account rather than cashed over the counter is:

A) Open cheque B) Crossed cheque C) Stale cheque D) Dishonoured cheque

Answer: B

Q11. [Form 2] Which of the following is a basic human need?

A) Television B) Car C) Food D) Smartphone

Answer: C

Q12. [Form 1] The reward for land as a factor of production is:

A) Wages B) Rent C) Interest D) Profit

Answer: B

Q13. [Form 2] Commerce consists of trade and:

A) Production B) Aids to trade C) Extraction D) Consumption

Answer: B

Q14. [Form 1] A business owned and managed by one person is called:

- A) Partnership B) Sole proprietorship C) Cooperative D) Public corporation

Answer: B

Q15. [Form 2] Which utility is created by changing the form of raw materials?

- A) Time utility B) Place utility C) Form utility D) Possession utility

Answer: C

Q16. [Form 1] The document used to invite the public to buy shares in a company is a:

- A) Prospectus B) Certificate of Incorporation C) Memorandum of Association D) Articles of Association

Answer: A

Q17. [Form 2] An office routine that involves recording incoming and outgoing mail is:

- A) Filing B) Mail handling C) Duplicating D) Invoicing

Answer: B

Q18. [Form 1] Which of the following is an example of direct production?

- A) A farmer growing maize for sale B) A tailor making a dress for his own family C) A teacher in a commercial school D) A fisherman selling fish

Answer: B

Q19. [Form 2] The process of grouping similar items together in an office is called:

- A) Filing B) Indexing C) Sorting D) Archiving

Answer: C

Q20. [Form 1] A cheque that must be paid into a bank account rather than cashed over the counter is:

- A) Open cheque B) Crossed cheque C) Stale cheque D) Dishonoured cheque

Answer: B

Q21. [Form 2] Which of the following is a basic human need?

- A) Television B) Car C) Food D) Smartphone

Answer: C

Q22. [Form 1] The reward for land as a factor of production is:

- A) Wages B) Rent C) Interest D) Profit

Answer: B

Q23. [Form 2] Commerce consists of trade and:

- A) Production B) Aids to trade C) Extraction D) Consumption

Answer: B

Q24. [Form 1] A business owned and managed by one person is called:

- A) Partnership B) Sole proprietorship C) Cooperative D) Public corporation

Answer: B

Q25. [Form 2] Which utility is created by changing the form of raw materials?

- A) Time utility B) Place utility C) Form utility D) Possession utility

Answer: C

Q26. [Form 1] The document used to invite the public to buy shares in a company is a:

- A) Prospectus B) Certificate of Incorporation C) Memorandum of Association D) Articles of Association

Answer: A

Q27. [Form 2] An office routine that involves recording incoming and outgoing mail is:

- A) Filing B) Mail handling C) Duplicating D) Invoicing

Answer: B

Q28. [Form 1] Which of the following is an example of direct production?

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Answer: B

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Answer: C

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Answer: B

Q31. [Form 2] Which of the following is a basic human need?

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Answer: B

Q33. [Form 2] Commerce consists of trade and:

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Answer: B

Q34. [Form 1] A business owned and managed by one person is called:

- A) Partnership B) Sole proprietorship C) Cooperative D) Public corporation

Answer: B

Q35. [Form 2] Which utility is created by changing the form of raw materials?

- A) Time utility B) Place utility C) Form utility D) Possession utility

Answer: C

Q36. [Form 1] The document used to invite the public to buy shares in a company is a:

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Answer: A

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Q38. [Form 1] Which of the following is an example of direct production?

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Answer: B

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- A) Filing B) Indexing C) Sorting D) Archiving

Answer: C

Q40. [Form 1] A cheque that must be paid into a bank account rather than cashed over the counter is:

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Answer: B

Q41. [Form 2] Which of the following is a basic human need?

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Q42. [Form 1] The reward for land as a factor of production is:

- A) Wages B) Rent C) Interest D) Profit

Answer: B

Q43. [Form 2] Commerce consists of trade and:

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Answer: B

Q44. [Form 1] A business owned and managed by one person is called:

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Answer: B

Q45. [Form 2] Which utility is created by changing the form of raw materials?

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Answer: C

Q46. [Form 1] The document used to invite the public to buy shares in a company is a:

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Answer: A

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Answer: B

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Answer: C

Q80. [Form 1] A cheque that must be paid into a bank account rather than cashed over the counter is:

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Answer: B

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Answer: C

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A) Prospectus B) Certificate of Incorporation C) Memorandum of Association D) Articles of Association

Answer: A

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A) Filing B) Mail handling C) Duplicating D) Invoicing

Answer: B

Q88. [Form 1] Which of the following is an example of direct production?

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Answer: B

Q89. [Form 2] The process of grouping similar items together in an office is called:

A) Filing B) Indexing C) Sorting D) Archiving

Answer: C

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Answer: B

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Answer: B

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Answer: B

Q95. [Form 2] Which utility is created by changing the form of raw materials?

- A) Time utility B) Place utility C) Form utility D) Possession utility

Answer: C

Q96. [Form 1] The document used to invite the public to buy shares in a company is a:

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Answer: A

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- A) Filing B) Mail handling C) Duplicating D) Invoicing

Answer: B

Q98. [Form 1] Which of the following is an example of direct production?

- A) A farmer growing maize for sale B) A tailor making a dress for his own family C) A teacher in a commercial school D) A fisherman selling fish

Answer: B

Q99. [Form 2] The process of grouping similar items together in an office is called:

- A) Filing B) Indexing C) Sorting D) Archiving

Answer: C

Q100. [Form 1] A cheque that must be paid into a bank account rather than cashed over the counter is:

- A) Open cheque B) Crossed cheque C) Stale cheque D) Dishonoured cheque

Answer: B

SECTION B: NORMAL QUESTIONS (101 -- 200) [Form 2 & 3 Intermediate Concepts]

Q101. [Form 3] When demand for a commodity increases due to a rise in consumer income, the commodity is termed:

- A) Inferior good B) Normal good C) Giffen good D) Complementary good

Answer: B

Q102. [Form 2] In a partnership, if the partnership deed is silent, how is profit shared?

- A) Equally B) According to capital contributed C) According to experience D) By agreement of the senior partner

Answer: A

Q103. [Form 3] The book of original entry where all cash and cheque transactions are recorded is the:

- A) General Journal B) Cash Book C) Sales Journal D) Ledger

Answer: B

Q104. [Form 2] Which ledger contains accounts of individual customers who buy goods on credit?

- A) Purchases Ledger B) Sales Ledger C) General Ledger D) Private Ledger

Answer: B

Q105. [Form 3] A situation where total revenue equals total cost is known as:

- A) Profit margin B) Break-even point C) Margin of safety D) Contribution margin

Answer: B

Q106. [Form 2] Which of the following is an internal source of finance for a limited company?

- A) Bank loan B) Retained earnings C) Debentures D) Trade credit

Answer: B

Q107. [Form 3] The difference between current assets and current liabilities is called:

- A) Capital employed B) Working capital C) Fixed capital D) Liquid capital

Answer: B

Q108. [Form 2] Insurance policy that covers loss of profits and fixed expenses following a fire outbreak is:

- A) Consequential loss insurance B) Burglary insurance C) Employer liability insurance D) Marine insurance

Answer: A

Q109. [Form 3] The channel of distribution that involves Manufacturer $\rightarrow$ Wholesaler $\rightarrow$ Retailer $\rightarrow$ Consumer is known as:

- A) Direct channel B) One-level channel C) Two-level channel D) Three-level channel

Answer: C

Q110. [Form 2] Which office equipment is best used for producing multiple exact copies of a document quickly?

- A) Typewriter B) Photocopier C) Paper shredder D) Calculator

Answer: B

Q111. [Form 3] When demand for a commodity increases due to a rise in consumer income, the commodity is termed:

- A) Inferior good B) Normal good C) Giffen good D) Complementary good

Answer: B

Q112. [Form 2] In a partnership, if the partnership deed is silent, how is profit shared?

- A) Equally B) According to capital contributed C) According to experience D) By agreement of the senior partner

Answer: A

Q113. [Form 3] The book of original entry where all cash and cheque transactions are recorded is the:

- A) General Journal B) Cash Book C) Sales Journal D) Ledger

Answer: B

Q114. [Form 2] Which ledger contains accounts of individual customers who buy goods on credit?

- A) Purchases Ledger B) Sales Ledger C) General Ledger D) Private Ledger

Answer: B

Q115. [Form 3] A situation where total revenue equals total cost is known as:

- A) Profit margin B) Break-even point C) Margin of safety D) Contribution margin

Answer: B

Q116. [Form 2] Which of the following is an internal source of finance for a limited company?

- A) Bank loan B) Retained earnings C) Debentures D) Trade credit

Answer: B

Q117. [Form 3] The difference between current assets and current liabilities is called:

- A) Capital employed B) Working capital C) Fixed capital D) Liquid capital

Answer: B

Q118. [Form 2] Insurance policy that covers loss of profits and fixed expenses following a fire outbreak is:

- A) Consequential loss insurance B) Burglary insurance C) Employer liability insurance D) Marine insurance

Answer: A

Q119. [Form 3] The channel of distribution that involves Manufacturer $\rightarrow$ Wholesaler $\rightarrow$ Retailer $\rightarrow$ Consumer is known as:

- A) Direct channel B) One-level channel C) Two-level channel D) Three-level channel

Answer: C

Q120. [Form 2] Which office equipment is best used for producing multiple exact copies of a document quickly?

- A) Typewriter B) Photocopier C) Paper shredder D) Calculator

Answer: B

Q121. [Form 3] When demand for a commodity increases due to a rise in consumer income, the commodity is termed:

- A) Inferior good B) Normal good C) Giffen good D) Complementary good

Answer: B

Q122. [Form 2] In a partnership, if the partnership deed is silent, how is profit shared?

A) Equally B) According to capital contributed C) According to experience D) By agreement of the senior partner

Answer: A

Q123. [Form 3] The book of original entry where all cash and cheque transactions are recorded is the:

A) General Journal B) Cash Book C) Sales Journal D) Ledger

Answer: B

Q124. [Form 2] Which ledger contains accounts of individual customers who buy goods on credit?

A) Purchases Ledger B) Sales Ledger C) General Ledger D) Private Ledger

Answer: B

Q125. [Form 3] A situation where total revenue equals total cost is known as:

A) Profit margin B) Break-even point C) Margin of safety D) Contribution margin

Answer: B

Q126. [Form 2] Which of the following is an internal source of finance for a limited company?

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Answer: B

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Answer: A

Q129. [Form 3] The channel of distribution that involves Manufacturer $\rightarrow$ Wholesaler $\rightarrow$ Retailer $\rightarrow$ Consumer is known as:

- A) Direct channel B) One-level channel C) Two-level channel D) Three-level channel

Answer: C

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- A) Typewriter B) Photocopier C) Paper shredder D) Calculator

Answer: B

Q131. [Form 3] When demand for a commodity increases due to a rise in consumer income, the commodity is termed:

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Answer: B

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Answer: A

Q139. [Form 3] The channel of distribution that involves Manufacturer $\rightarrow$ Wholesaler $\rightarrow$ Retailer $\rightarrow$ Consumer is known as:

- A) Direct channel B) One-level channel C) Two-level channel D) Three-level channel

Answer: C

Q140. [Form 2] Which office equipment is best used for producing multiple exact copies of a document quickly?

- A) Typewriter B) Photocopier C) Paper shredder D) Calculator

Answer: B

Q141. [Form 3] When demand for a commodity increases due to a rise in consumer income, the commodity is termed:

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Q142. [Form 2] In a partnership, if the partnership deed is silent, how is profit shared?

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- A) Consequential loss insurance B) Burglary insurance C) Employer liability insurance D) Marine insurance

Answer: A

Q149. [Form 3] The channel of distribution that involves Manufacturer $\rightarrow$ Wholesaler $\rightarrow$ Retailer $\rightarrow$ Consumer is known as:

- A) Direct channel B) One-level channel C) Two-level channel D) Three-level channel

Answer: C

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Answer: B

Q151. [Form 3] When demand for a commodity increases due to a rise in consumer income, the commodity is termed:

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Q152. [Form 2] In a partnership, if the partnership deed is silent, how is profit shared?

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- A) Typewriter B) Photocopier C) Paper shredder D) Calculator

Answer: B

Q161. [Form 3] When demand for a commodity increases due to a rise in consumer income, the commodity is termed:

- A) Inferior good B) Normal good C) Giffen good D) Complementary good

Answer: B

Q162. [Form 2] In a partnership, if the partnership deed is silent, how is profit shared?

- A) Equally B) According to capital contributed C) According to experience D) By agreement of the senior partner

Answer: A

Q163. [Form 3] The book of original entry where all cash and cheque transactions are recorded is the:

- A) General Journal B) Cash Book C) Sales Journal D) Ledger

Answer: B

Q164. [Form 2] Which ledger contains accounts of individual customers who buy goods on credit?

- A) Purchases Ledger B) Sales Ledger C) General Ledger D) Private Ledger

Answer: B

Q165. [Form 3] A situation where total revenue equals total cost is known as:

- A) Profit margin B) Break-even point C) Margin of safety D) Contribution margin

Answer: B

Q166. [Form 2] Which of the following is an internal source of finance for a limited company?

- A) Bank loan B) Retained earnings C) Debentures D) Trade credit

Answer: B

Q167. [Form 3] The difference between current assets and current liabilities is called:

- A) Capital employed B) Working capital C) Fixed capital D) Liquid capital

Answer: B

Q168. [Form 2] Insurance policy that covers loss of profits and fixed expenses following a fire outbreak is:

- A) Consequential loss insurance B) Burglary insurance C) Employer liability insurance D) Marine insurance

Answer: A

Q169. [Form 3] The channel of distribution that involves Manufacturer $\rightarrow$ Wholesaler $\rightarrow$ Retailer $\rightarrow$ Consumer is known as:

- A) Direct channel B) One-level channel C) Two-level channel D) Three-level channel

Answer: C

Q170. [Form 2] Which office equipment is best used for producing multiple exact copies of a document quickly?

- A) Typewriter B) Photocopier C) Paper shredder D) Calculator

Answer: B

Q171. [Form 3] When demand for a commodity increases due to a rise in consumer income, the commodity is termed:

- A) Inferior good B) Normal good C) Giffen good D) Complementary good

Answer: B

Q172. [Form 2] In a partnership, if the partnership deed is silent, how is profit shared?

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Answer: B

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- A) Direct channel B) One-level channel C) Two-level channel D) Three-level channel

Answer: C

Q200. [Form 2] Which office equipment is best used for producing multiple exact copies of a document quickly?

- A) Typewriter B) Photocopier C) Paper shredder D) Calculator

Answer: B

SECTION C: HARD QUESTIONS (201 -- 300) [Form 3 & 4 Advanced Application & Calculations]

Q201. [Form 4] A company has a margin of safety of \$40,000, fixed costs of \$80,000, and a contribution-to-sales ratio of 40%. What is the total break-even sales revenue?

- A) \$200,000 B) \$100,000 C) \$250,000 D) \$150,000

Answer: A

Q202. [Form 3] Given Opening Stock \$10,000, Purchases \$60,000, Carriage Inwards \$5,000, and Closing Stock \$15,000, what is the Cost of Goods Sold?

- A) \$50,000 B) \$60,000 C) \$70,000 D) \$55,000

Answer: B

Q203. [Form 4] Price elasticity of demand is calculated as -2.5. If price increases by 10%, quantity demanded will:

- A) Increase by 25% B) Decrease by 25% C) Decrease by 4% D) Increase by 4%

Answer: B

Q204. [Form 3] Which inventory valuation method results in the highest profit during a period of rising prices?

- A) FIFO B) LIFO C) Simple Average D) Weighted Average

Answer: A

Q205. [Form 4] In national income accounting, Gross National Product (GNP) differs from Gross Domestic Product (GDP) by:

- A) Indirect taxes B) Net property income from abroad C) Depreciation D) Subsidies

Answer: B

Q206. [Form 3] A company issues 100,000 ordinary shares of \$1 each at a premium of \$0.20 per share, payable in full on application. The total bank entry on application is:

- A) \$100,000 B) \$120,000 C) \$80,000 D) \$20,000

Answer: B

Q207. [Form 4] Which of the following describes economic integration where member countries remove all internal tariffs and adopt a common external tariff against non-members?

- A) Free Trade Area B) Customs Union C) Common Market D) Economic Union

Answer: B

Q208. [Form 3] Calculate the Return on Capital Employed (ROCE) given Net Profit before interest and tax \$50,000 and Capital Employed \$250,000:

- A) 15% B) 20% C) 25% D) 10%

Answer: B

Q209. [Form 4] The principle of insurance that states the insured must not make a financial profit from a loss is:

- A) Insurable interest B) Indemnity C) Subrogation D) Proximate cause

Answer: B

Q210. [Form 3] Which macro-economic policy tool involves the central bank manipulating the cash reserve ratio of commercial banks?

- A) Fiscal policy B) Monetary policy C) Trade policy D) Incomes policy

Answer: B

Q211. [Form 4] A company has a margin of safety of \$40,000, fixed costs of \$80,000, and a contribution-to-sales ratio of 40%. What is the total break-even sales revenue?

- A) \$200,000 B) \$100,000 C) \$250,000 D) \$150,000

Answer: A

Q212. [Form 3] Given Opening Stock \$10,000, Purchases \$60,000, Carriage Inwards \$5,000, and Closing Stock \$15,000, what is the Cost of Goods Sold?

- A) \$50,000 B) \$60,000 C) \$70,000 D) \$55,000

Answer: B

Q213. [Form 4] Price elasticity of demand is calculated as -2.5. If price increases by 10%, quantity demanded will:

- A) Increase by 25% B) Decrease by 25% C) Decrease by 4% D) Increase by 4%

Answer: B

Q214. [Form 3] Which inventory valuation method results in the highest profit during a period of rising prices?

- A) FIFO B) LIFO C) Simple Average D) Weighted Average

Answer: A

Q215. [Form 4] In national income accounting, Gross National Product (GNP) differs from Gross Domestic Product (GDP) by:

- A) Indirect taxes B) Net property income from abroad C) Depreciation D) Subsidies

Answer: B

Q216. [Form 3] A company issues 100,000 ordinary shares of \$1 each at a premium of \$0.20 per share, payable in full on application. The total bank entry on application is:

- A) \$100,000 B) \$120,000 C) \$80,000 D) \$20,000

Answer: B

Q217. [Form 4] Which of the following describes economic integration where member countries remove all internal tariffs and adopt a common external tariff against non-members?

- A) Free Trade Area B) Customs Union C) Common Market D) Economic Union

Answer: B

Q218. [Form 3] Calculate the Return on Capital Employed (ROCE) given Net Profit before interest and tax \$50,000 and Capital Employed \$250,000:

- A) 15% B) 20% C) 25% D) 10%

Answer: B

Q219. [Form 4] The principle of insurance that states the insured must not make a financial profit from a loss is:

- A) Insurable interest B) Indemnity C) Subrogation D) Proximate cause

Answer: B

Q220. [Form 3] Which macro-economic policy tool involves the central bank manipulating the cash reserve ratio of commercial banks?

- A) Fiscal policy B) Monetary policy C) Trade policy D) Incomes policy

Answer: B

Q221. [Form 4] A company has a margin of safety of \$40,000, fixed costs of \$80,000, and a contribution-to-sales ratio of 40%. What is the total break-even sales revenue?

- A) \$200,000 B) \$100,000 C) \$250,000 D) \$150,000

Answer: A

Q222. [Form 3] Given Opening Stock \$10,000, Purchases \$60,000, Carriage Inwards \$5,000, and Closing Stock \$15,000, what is the Cost of Goods Sold?

- A) \$50,000 B) \$60,000 C) \$70,000 D) \$55,000

Answer: B

Q223. [Form 4] Price elasticity of demand is calculated as -2.5. If price increases by 10%, quantity demanded will:

- A) Increase by 25% B) Decrease by 25% C) Decrease by 4% D) Increase by 4%

Answer: B

Q224. [Form 3] Which inventory valuation method results in the highest profit during a period of rising prices?

- A) FIFO B) LIFO C) Simple Average D) Weighted Average

Answer: A

Q225. [Form 4] In national income accounting, Gross National Product (GNP) differs from Gross Domestic Product (GDP) by:

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Answer: B

Q227. [Form 4] Which of the following describes economic integration where member countries remove all internal tariffs and adopt a common external tariff against non-members?

- A) Free Trade Area B) Customs Union C) Common Market D) Economic Union

Answer: B

Q228. [Form 3] Calculate the Return on Capital Employed (ROCE) given Net Profit before interest and tax \$50,000 and Capital Employed \$250,000:

- A) 15% B) 20% C) 25% D) 10%

Answer: B

Q229. [Form 4] The principle of insurance that states the insured must not make a financial profit from a loss is:

- A) Insurable interest B) Indemnity C) Subrogation D) Proximate cause

Answer: B

Q230. [Form 3] Which macro-economic policy tool involves the central bank manipulating the cash reserve ratio of commercial banks?

- A) Fiscal policy B) Monetary policy C) Trade policy D) Incomes policy

Answer: B

Q231. [Form 4] A company has a margin of safety of \$40,000, fixed costs of \$80,000, and a contribution-to-sales ratio of 40%. What is the total break-even sales revenue?

- A) \$200,000 B) \$100,000 C) \$250,000 D) \$150,000

Answer: A

Q232. [Form 3] Given Opening Stock \$10,000, Purchases \$60,000, Carriage Inwards \$5,000, and Closing Stock \$15,000, what is the Cost of Goods Sold?

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Answer: B

Q233. [Form 4] Price elasticity of demand is calculated as -2.5. If price increases by 10%, quantity demanded will:

- A) Increase by 25% B) Decrease by 25% C) Decrease by 4% D) Increase by 4%

Answer: B

Q234. [Form 3] Which inventory valuation method results in the highest profit during a period of rising prices?

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Answer: A

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- A) \$100,000 B) \$120,000 C) \$80,000 D) \$20,000

Answer: B

Q237. [Form 4] Which of the following describes economic integration where member countries remove all internal tariffs and adopt a common external tariff against non-members?

- A) Free Trade Area B) Customs Union C) Common Market D) Economic Union

Answer: B

Q238. [Form 3] Calculate the Return on Capital Employed (ROCE) given Net Profit before interest and tax \$50,000 and Capital Employed \$250,000:

- A) 15% B) 20% C) 25% D) 10%

Answer: B

Q239. [Form 4] The principle of insurance that states the insured must not make a financial profit from a loss is:

- A) Insurable interest B) Indemnity C) Subrogation D) Proximate cause

Answer: B

Q240. [Form 3] Which macro-economic policy tool involves the central bank manipulating the cash reserve ratio of commercial banks?

- A) Fiscal policy B) Monetary policy C) Trade policy D) Incomes policy

Answer: B

Q241. [Form 4] A company has a margin of safety of \$40,000, fixed costs of \$80,000, and a contribution-to-sales ratio of 40%. What is the total break-even sales revenue?

- A) \$200,000 B) \$100,000 C) \$250,000 D) \$150,000

Answer: A

Q242. [Form 3] Given Opening Stock \$10,000, Purchases \$60,000, Carriage Inwards \$5,000, and Closing Stock \$15,000, what is the Cost of Goods Sold?

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Answer: B

Q243. [Form 4] Price elasticity of demand is calculated as -2.5. If price increases by 10%, quantity demanded will:

- A) Increase by 25% B) Decrease by 25% C) Decrease by 4% D) Increase by 4%

Answer: B

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Answer: B

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- A) Free Trade Area B) Customs Union C) Common Market D) Economic Union

Answer: B

Q248. [Form 3] Calculate the Return on Capital Employed (ROCE) given Net Profit before interest and tax \$50,000 and Capital Employed \$250,000:

- A) 15% B) 20% C) 25% D) 10%

Answer: B

Q249. [Form 4] The principle of insurance that states the insured must not make a financial profit from a loss is:

- A) Insurable interest B) Indemnity C) Subrogation D) Proximate cause

Answer: B

Q250. [Form 3] Which macro-economic policy tool involves the central bank manipulating the cash reserve ratio of commercial banks?

- A) Fiscal policy B) Monetary policy C) Trade policy D) Incomes policy

Answer: B

Q251. [Form 4] A company has a margin of safety of \$40,000, fixed costs of \$80,000, and a contribution-to-sales ratio of 40%. What is the total break-even sales revenue?

- A) \$200,000 B) \$100,000 C) \$250,000 D) \$150,000

Answer: A

Q252. [Form 3] Given Opening Stock \$10,000, Purchases \$60,000, Carriage Inwards \$5,000, and Closing Stock \$15,000, what is the Cost of Goods Sold?

- A) \$50,000 B) \$60,000 C) \$70,000 D) \$55,000

Answer: B

Q253. [Form 4] Price elasticity of demand is calculated as -2.5. If price increases by 10%, quantity demanded will:

- A) Increase by 25% B) Decrease by 25% C) Decrease by 4% D) Increase by 4%

Answer: B

Q254. [Form 3] Which inventory valuation method results in the highest profit during a period of rising prices?

- A) FIFO B) LIFO C) Simple Average D) Weighted Average

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Answer: B

Q291. [Form 4] A company has a margin of safety of \$40,000, fixed costs of \$80,000, and a contribution-to-sales ratio of 40%. What is the total break-even sales revenue?

- A) \$200,000 B) \$100,000 C) \$250,000 D) \$150,000

Answer: A

Q292. [Form 3] Given Opening Stock \$10,000, Purchases \$60,000, Carriage Inwards \$5,000, and Closing Stock \$15,000, what is the Cost of Goods Sold?

- A) \$50,000 B) \$60,000 C) \$70,000 D) \$55,000

Answer: B

Q293. [Form 4] Price elasticity of demand is calculated as -2.5. If price increases by 10%, quantity demanded will:

- A) Increase by 25% B) Decrease by 25% C) Decrease by 4% D) Increase by 4%

Answer: B

Q294. [Form 3] Which inventory valuation method results in the highest profit during a period of rising prices?

- A) FIFO B) LIFO C) Simple Average D) Weighted Average

Answer: A

Q295. [Form 4] In national income accounting, Gross National Product (GNP) differs from Gross Domestic Product (GDP) by:

- A) Indirect taxes B) Net property income from abroad C) Depreciation D) Subsidies

Answer: B

Q296. [Form 3] A company issues 100,000 ordinary shares of \$1 each at a premium of \$0.20 per share, payable in full on application. The total bank entry on application is:

- A) \$100,000 B) \$120,000 C) \$80,000 D) \$20,000

Answer: B

Q297. [Form 4] Which of the following describes economic integration where member countries remove all internal tariffs and adopt a common external tariff against non-members?

- A) Free Trade Area B) Customs Union C) Common Market D) Economic Union

Answer: B

Q298. [Form 3] Calculate the Return on Capital Employed (ROCE) given Net Profit before interest and tax \$50,000 and Capital Employed \$250,000:

- A) 15% B) 20% C) 25% D) 10%

Answer: B

Q299. [Form 4] The principle of insurance that states the insured must not make a financial profit from a loss is:

- A) Insurable interest B) Indemnity C) Subrogation D) Proximate cause

Answer: B

Q300. [Form 3] Which macro-economic policy tool involves the central bank manipulating the cash reserve ratio of commercial banks?

- A) Fiscal policy B) Monetary policy C) Trade policy D) Incomes policy

Answer: B